Presentation

00 Status
946 Financial Services—Investment Companies
205 Presentation of Financial Statements

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

946-205-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
946-205-45-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
946-205-45-1	Amended	Maintenance Update 2016-05	04/12/2016
946-205-45-3	Amended	Maintenance Update 2018-12	09/10/2018

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

946-205-05-1 This Subtopic addresses the presentation of financial statements for investment companies, including both of the following matters:

a. The statement of changes in net assets
b. Financial highlights.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

946-205-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 946-10-15.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

a. They are independent of each other, that is, they are not related parties, although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms

b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary

c. They are able to enter into a transaction for the asset or liability

d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Net Asset Value per Share

Net asset value per share is the amount of net assets attributable to each share of capital stock (other than senior equity securities, that is, preferred stock) outstanding at the close of the period. It excludes the effects of assuming conversion of outstanding convertible securities, whether or not their conversion would have a diluting effect.

Nonmanaging Investors

See Nonregistered Investment Partnerships—Financial Highlights.

Nonregistered Investment Partnerships—Financial Highlights

Nonregistered investment partnerships, when disclosing financial highlights, shall interpret the terms classes, units, and theoretical investments as follows:

a. Classes. Nonregistered investment funds typically have one of the following two classes of ownership interest, with one class being the management interest in the fund and the other being the investment interest:

1. For unitized funds (that is, funds with units specifically called for in the governing underlying legal or offering documents), the management interest usually is a voting class and the investment interest is a nonvoting class. Temporary series of shares (that is, shares that are intended at the time of issuance to be consolidated at a later date with another specified series of shares that remains outstanding indefinitely) are not considered separate classes. Permanent series of a class of share shall be the basis for which that share's financial highlights are determined and presented.

2. For nonunitized funds, the management interest usually is the general partner class and the investment interest usually is the limited partner class. Generally, a class has certain rights as governed by underlying legal documents or offering documents and local law. Rights to certain investments that do not otherwise affect the rights available under the underlying legal documents and local law do not ordinarily represent a separate share class. For example, rights to income and gains from a specific investment attributed solely to investors at the date the investment is made (side-pocket investments) are not considered to give rise to a share class. Similarly, a temporary series of shares is not considered a share class.

b. Units. Only funds with units specifically called for in the governing underlying legal or offering documents shall be considered unitized. Some funds may employ units for convenience in making allocations to investors for internal accounting or bookkeeping purposes, but the units are not required or specified by legal or offering documents, and for all other purposes operate like nonunitized investment partnerships. For per-share operating performance, those funds are not considered unitized.

c. Theoretical investment. The term theoretical investment in paragraph 946-205-50-20 shall be considered as the actual aggregate amount of capital invested by each reporting class of investor as of the beginning of the fiscal reporting period, adjusted for cash flows related to capital contributions or withdrawals during the period.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

a. Affiliates of the entity

b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the Fair Value Option Subsection of Section 825-10-15, to be accounted for by the equity method by the investing entity

c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management

d. Principal owners of the entity and members of their immediate families

e. Management of the entity and members of their immediate families

f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests

g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Return of Capital

Distributions by investment companies in excess of tax-basis earnings and profits.

Theoretical Investment

See Nonregistered Investment Partnerships—Financial Highlights.

Unitized

See Nonregistered Investment Partnerships—Financial Highlights.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

Related Proposed ASUs

946-205-45-1 The overall objective of financial statements, including financial highlights, of investment companies is to present net assets, results of operations, changes in net assets, and financial highlights resulting from investment activities and, if applicable, from capital share transactions. In reporting to shareholders, investment companies and investment companies registered with the Securities and Exchange Commission (SEC) shall present financial statements and financial highlights as follows.

Nonregistered Investment Companies	Registered Investment Companies
A statement of assets and liabilities with a schedule of investments or a statement of net assets, which includes a schedule of investments therein, as of the close of the latest period. At a minimum, a condensed schedule of investments (as discussed in paragraphs 946-210-50-4 through 50-10) should be provided for each statement of assets and liabilities.	A statement of assets and liabilities with a schedule of investments or a statement of net assets, which includes a schedule of investments therein (that is, a detailed list of investments in securities, options written, securities sold short, and other investments) as of the close of the latest period.[(b)] A schedule of investments should be provided for each statement of assets and liabilities in conformity with SEC Regulation S-X, Rule 12-12 or 12-12C[(a)].
A statement of operations for the latest period.	A statement of operations for the latest year.[(b), (c)]
A statement of cash flows for the latest period (if not exempted by Subtopic 230-10).	A statement of cash flows for the latest year (if not exempted by Subtopic 230-10).[(b),(c)]
A statement of changes in net assets for the latest period.	A statement of changes in net assets for the latest two years (for semiannual reports, the most recent semiannual period and preceding fiscal year).[(b),(c)]
Financial highlights for the latest period consisting of per share operating performance, net investment income, and expense ratios and total return for all investment companies organized in a manner using unitized net asset value.[(d)]	Financial highlights for the latest five fiscal years [(b),(c),(e)] (for semiannual reports, the semiannual period and generally the preceding five fiscal years).

(a) In 2004, the SEC adopted rule and form amendments that among other matters amended Article 6 and Article 12 of SEC Regulation S-X to permit a registered management investment company to include, under Regulation S-X, Rule 12-12C, a summary schedule of investments in securities of unaffiliated issuers in its reports to shareholders, provided that the complete portfolio schedule required by Rule 12-12 is filed with the Securities and Exchange Commission semi-annually and is provided to shareholders upon request free of charge. All other complete portfolio schedules required by Regulation S-X (Rule 12-12A-Investments-securities sold short, Rule 12-12B-Open option contracts written, Rule 12-13-Investments other than securities, and Rule 12-14-Investments in and advances to affiliates) continue to be required in both shareholder reports and SEC Form N-CSR. The amendments also exempt money market funds (which utilize the exemptive requirements of Rule 2a-7 under the 1940 Act) from including a portfolio schedule in reports to shareholders, provided that this information is filed with the SEC on Form N-CSR semi-annually and provided to shareholders upon request, free of charge. See SEC Release No. IC-26372 under the Investment Company Act of 1940 (1940 Act) for additional information and for effective date and compliance date information.

Although that SEC rule allows a money market fund to exclude its portfolio of investments from its shareholder reports, the generally accepted accounting principles (GAAP) requirement in this Guide that a money market fund present, at a minimum, a condensed schedule of investments for each statement of assets and liabilities (see paragraphs 946-210-50-1 through 50-3), has not been modified.

(b) If the most current statement of assets and liabilities included in a registration statement is as of a date more than 245 days prior to the date the filing is expected to become effective, then the financial statements, which may be unaudited, included in such filing are to be updated to a date within 245 days of the expected effective date. A statement of assets and liabilities as of such date must be provided as well as a statement of operations, cash flows (if applicable), and statement of changes in net assets for the interim period from the end of the most recent fiscal year for which a statement of assets and liabilities is presented and the date of the most recent interim statement of assets and liabilities.

(c) The Securities and Exchange Commission staff currently requires that sufficient fiscal periods be presented to cover at least twelve calendar months' results of operations ending on the most recent fiscal year-end date (twenty-four calendar months' changes in net assets; sixty months' financial highlights).

(d) For investment companies not using unitized net asset value, financial highlights should be presented and consist of net investment income and expense ratios and total return, or the internal rate of return since inception if applicable.

(e) Item 13(a) of SEC Form N-1A requires financial highlights to be presented for the latest five years in the fund's prospectus. Item 4 of SEC Form N-2 requires financial highlights to be presented for the latest ten years in the fund's prospectus.

946-205-45-2 For investment companies not using unitized net asset value, financial highlights shall be presented and consist of net investment income and expense ratios and total return, or the internal rate of return since inception if applicable.

> Statement of Changes in Net Assets

946-205-45-3 The statement of changes in net assets summarizes results from operations, net equalization credits or debits, dividends and distributions to shareholders, capital share transactions, and capital contributions. The increase or decrease in net assets of a registered investment company comprises the following categories:

a. Operations. Net investment income or loss, net realized gains or losses from investments and foreign currency transactions, and changes in unrealized appreciation or depreciation on investments and translation of assets and liabilities in foreign currencies, as shown in the statement of operations, shall be presented separately to arrive at the net change in net assets resulting from operations.

b. Net equalization debits or credits. If equalization accounting is used, undistributed investment income included in the price of capital shares issued or reacquired shall be shown as a separate line item.

c. Distributions to shareholders. Distributions shall be disclosed as a single line item, except for tax return of capital distributions, which shall be presented separately. Distributions made by regulated investment companies often differ from aggregate undistributed net investment income (including net equalization credits or debits and undistributed net investment income) determined in accordance with generally accepted accounting principles (GAAP) and accumulated net realized gains (total net realized gains determined in accordance with GAAP). The principal cause is that required minimum fund distributions are based on income and gain amounts determined in accordance with federal income tax regulations, rather than GAAP. The differences created can be temporary, meaning that they will reverse in the future, or they can be permanent. If in a subsequent period all or a portion of a temporary difference becomes a permanent difference, the amount of the permanent difference shall be reclassified to paid-in capital.

· > Complex Capital Structures

946-205-45-4 Management investment companies that have multiple classes of shares or master-feeder structures shall apply all of the following guidance with respect to the statement of changes in net assets:

a. Multiple class funds. Dividends and distributions paid to shareholders and capital share transactions for each class are required to be presented (or disclosed in the notes to financial statements).

b. Master-feeder funds:

1. Master funds. The statement of changes in net assets of a master fund shall report capital transactions from or to feeder funds as contributions and withdrawals, respectively. Dividend distributions are normally not made by the master fund when the master fund is treated as a partnership for tax purposes. In those situations where the master fund is treated as a registered investment company and is taxed either as a corporation or trust, there may be distributions to the feeder funds to eliminate any accumulated taxable income at the master fund level.

2. Feeder funds. For feeder funds, the standard reporting format for investment companies with simple capital structures is used. If the feeder fund is a multiple-class fund, the guidance for multiple-class funds in (a) and elsewhere in this Topic shall be followed.

· > Investment Partnerships

946-205-45-5 For investment partnerships, the statement of changes in net assets may be combined with the statement of changes in partners' capital if the information in paragraph 946-205-45-3 is presented.

· > Nonpublic Investment Companies Involving Master-Feeder Arrangements

946-205-45-6 Nonpublic investment companies may present a complete set of master financial statements with each feeder financial statement, in a manner that is consistent with the requirements for public investment companies.

50 Disclosure

ⓘ **General Note:**The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Financial Highlights

946-205-50-1 Financial highlights shall be presented either as a separate schedule or within the notes to financial statements for each class of common shares outstanding.

946-205-50-2 Investment companies with multiple classes of shares may present financial highlights only for those classes of shares that are included in reports to such shareholders. In such cases, the investment company shall include appropriate disclosures related to all classes so as to ensure that the financial statements are complete (for example, detail of capital share activity in the statement of changes in net assets or notes to financial statements).

946-205-50-3 Nonregistered investment partnerships shall disclose per-share data for all common classes in general-purpose financial statements. However, it is permissible for financial highlights to be presented only for those classes of shares that are included in reports to those classes.

946-205-50-4 Only the classes related to the nonmanaging investors (that is, classes of investors that do not consist exclusively of managing investor interests) are considered to be the common interests requiring financial highlight disclosure.

946-205-50-5 If a fund is not unitized, only investment returns (either total return or internal rate of return) and net investment income and expense ratios shall be disclosed as indicated in paragraphs 946-205-50-10 through 50-25.

946-205-50-6 The remainder of this guidance is organized according to the nature the item included in the financial highlights as follows:

a. Per-share information

b. Ratios

c. Total return

d. Capital commitments.

· > Per-Share Information

946-205-50-7 Per-share amounts presented are based on a share outstanding throughout each period presented. The caption descriptions in the per-share data shall be the same captions used in the statement of operations and statement of changes in net assets to allow the reader to determine which components of operations are included in or excluded from various per-share data. All of the following per-share information shall be presented for registered investment companies and for investment companies that compute unitized net asset value:

a. Net asset value at the beginning of the period.

b. Per-share net investment income or loss. Other methods, such as dividing net investment income by the average or weighted average number of shares outstanding during the period, are acceptable.

c. Realized and unrealized gains and losses per share, which are balancing amounts necessary to reconcile the change in net asset value per share with the other per-share information presented. The amount shown in this caption might not agree with the change in aggregate gains and losses for the period. If such is the case, the reasons shall be disclosed.

d. Total from investment operations, which represents the sum of net investment income or loss and realized and unrealized gain or loss.

e. Distributions to shareholders shall be disclosed as a single line item except that tax return of capital distributions shall be disclosed separately. Details of distributions shall conform to those shown in the statement of changes in net assets.

f. Purchase premiums, redemption fees, or other capital items.

g. Payments by affiliates (see paragraphs 946-20-05-2 through 05-3).

h. Net asset value at the end of the period.

The information required in (b) through (g) is not required for separate accounts that represent an ownership interest in the underlying separate account portfolios or mutual funds.

946-205-50-8 Nonregistered investment partnerships that compute unitized net asset value shall disclose information for each reporting share class related to nonmanaging investors. The information shall be disclosed for each major category affecting net asset value per share (as shown in the statement of operations and statement of changes in net assets of the fund).

946-205-50-9 Paragraph 946-210-45-16 provides guidance on the net asset amount that shall be used for purposes of preparing the per-share disclosures required by this Section as the beginning and ending balance in the statement of changes in net assets of the fund.

· > Ratios

946-205-50-10 Ratios of expenses and net investment income to average net assets are generally annualized for periods less than a year.

946-205-50-11 The ratio of expenses to average net assets should be increased by brokerage service and expense offset arrangements (see paragraphs 946-20-45-3 and 946-20-45-5).

946-205-50-12 When determining expense and net investment income ratios, nonregistered investment partnerships shall calculate average net assets by using the fund's (or class's) weighted-average net assets as measured at each accounting period or periodic valuation (for example, daily, weekly, monthly, quarterly), adjusting for capital contributions or withdrawals from the fund occurring between accounting periods or valuations. (This paragraph is not intended to require any additional interim accounting period or periodic valuation date beyond that which may be provided in offering or organizational documents of the partnership.)

946-205-50-13 The expense and net investment income ratios shall be calculated by nonregistered investment partnerships based on the expenses allocated to each common or investor class (for example, the limited partner class) before the effects of any incentive allocation. Adequate disclosure shall be made to indicate that the net investment income ratio does not reflect the effects of any incentive allocation. Expenses directly related to the total return of the fund, such as incentive fees, and nonrecurring expenses, such as organizational costs, shall not be annualized when determining the expense ratio. Disclosure shall be made of the expenses that have not been annualized.

946-205-50-14 Generally, the determination of expenses for computing those ratios shall follow the presentation of expenses in the fund's statement of operations. Accordingly, if the manager's or general partner's incentive is structured as a fee rather than an allocation of profits, the incentive fee would be factored into the computation of an expense ratio. Because an incentive allocation of profits is not presented as an expense, it shall not be considered part of the expense ratio. However, to avoid potentially significant inconsistencies in ratio presentations based solely on the structuring of incentives as fees or allocations, all incentives shall be reflected in the disclosure of financial highlights.

946-205-50-15 Additionally, for the expense ratio, disclosure shall be made of the effect of any agreement to waive or reimburse fees and expenses to each reporting class as a whole, as described in paragraph 946-20-50-7, and of expense offsets, as described in paragraphs 946-20-45-3 and 946-20-45-5. Agreements to waive a portion or all of certain fees to a specific investor, which do not relate to the share class as a whole, do not require disclosure in the financial highlights. However, as ratios are calculated for each common class taken as a whole, the financial statements shall disclose that an individual investor's ratio may vary from those ratios.

· · > Funds-of-Funds

946-205-50-16 Funds-of-funds shall compute the expense and net investment income ratios using the expenses presented in the fund's statement of operations. Therefore, funds-of-funds typically shall compute these ratios based on the net investment income and expense items at the fund-of-funds level only. Adequate disclosure shall be made so that it is clear to users that the ratios do not reflect the funds-of-funds' proportionate share of income and expenses of the underlying investee funds.

946-205-50-17 In a master-feeder structure, the feeder shall include its proportionate share of the income and expenses of the master when computing the ratios at the feeder level. If, in a master-feeder structure, an incentive is levied as an allocation at the master level, the feeder shall present its share of the incentive allocation as a separate line item in the statement of operations.

· > Total Return

946-205-50-18 Total return shall be presented for all investment companies (for interim periods, the disclosure shall include whether or not total return is annualized).

· · > Nonregistered Investment Companies Using Unitized Net Asset Value

946-205-50-19 For nonregistered investment companies organized in a manner using unitized net asset value, total return shall be computed based on the change in the net asset value per share during the period, and assuming that all dividends are reinvested.

· · > Investment Companies Not Using Unitized Net Asset Value

946-205-50-20 For investment companies not using unitized net asset value, including investment partnerships, total return shall be computed based on the change in value during the period of a theoretical investment made at the beginning of the period. The change in value of a theoretical investment is measured by comparing the aggregate ending value of each class of investor with the aggregate beginning value of each such class, adjusted for cash flows related to capital contributions or withdrawals during the period.

946-205-50-21 If capital cash flows occur during the reporting period, returns are geometrically linked based on capital cash flow dates. In general, geometrically linking requires the computation of performance for each discrete period within a year in which invested capital is constant (that is, for each period between investor cash flow dates), then multiplying those performance computations together to obtain the total return for a constant investment outstanding for the entire year.

946-205-50-22 Because incentive allocations or fees may vary among investors within a class, total return for reporting classes subject to an incentive allocation or fee should report total return before and after the incentive allocation or fee for each reporting class taken as a whole. The effect of incentive allocations on total return is computed on a weighted-average aggregate capital basis. That results in an incentive computation less than the maximum if, for example, certain partners had loss carryovers at the beginning of the period.

· · > Certain Limited-Life Investment Companies

946-205-50-23 An investment company shall disclose the internal rate of return since inception of the investment company's cash flows and ending net assets at the end of the period (residual values) as presented in the financial statements, net of all incentive allocations or fees, to each investor class, as of the beginning and end of the period, if, by the terms of their offering documents, they meet all of the following criteria:

a. Have limited lives

b. Do not continuously raise capital and are not required to redeem their interests upon investor request (obtaining initial capital commitments from investors at time of organization and subsequently drawing on those commitments to make investments is not considered continuous for this purpose)

c. Have as a predominant operating strategy the return of the proceeds from disposition of investments to investors

d. Have limited opportunities, if any, for investors to withdraw before termination of the entity

e. Do not routinely acquire (directly or indirectly) as part of their investment strategy market-traded securities and derivative instruments.

946-205-50-24 A footnote to the financial highlights shall disclose that the internal rate of return since inception of the investment is net of all incentives. The internal rate of return since inception shall be based on a consistent assumption, no less frequently than quarterly, as to the timing of cash inflows and outflows (for example, on actual cash flow dates or cash inflows at the beginning of each month or quarter and cash outflows at the end of each month or quarter). All significant assumptions with respect to the internal rate of return since inception shall be disclosed in the footnotes to the financial highlights.

· > Capital Commitments

946-205-50-25 Investment companies that obtain capital commitments from investors and periodically call capital under those commitments to make investments (principally limited-life, nonregistered investment partnerships) shall disclose in the financial highlights or in a note to financial statements the total committed capital of the partnership (including general partner), the year of formation of the entity, and the ratio of total contributed capital to total committed capital.

> Complex Capital Structures

946-205-50-26 Management investment companies that have multiple classes of shares or master-feeder structures shall apply the following guidance in preparing financial highlights.

· > Multiple-Class Funds

946-205-50-27 Financial highlights, including total return, shall be presented by class except for portfolio turnover, which is calculated at the fund level. The financial highlights for any class for which the shareholders are precluded from investing in may be omitted.

· > Master-Feeder Funds

· · > Feeder Funds

946-205-50-28 The feeder fund's ratios of expenses and net investment income to average net assets shall include the expenses of both the feeder and the master fund. Balance credits earned by the master fund shall be reflected in the feeder fund ratios as if they had been earned by the feeder fund directly. Feeder funds need not disclose a portfolio turnover rate because feeders invest all their assets in the master fund.

· · > Master Funds

946-205-50-29 The financial highlights section of the master fund organized as a partnership is substantially modified, because per share information is not applicable. The master fund financial highlights section shall include the total return, ratios of expenses and net investment income to average net assets, and portfolio turnover rate. The financial highlights section of master funds not organized as a partnership shall report the normal per-share data.

· > Funds of Funds

946-205-50-30 The financial highlights for the reporting fund in a fund-of-funds structure are usually similar to a standalone feeder fund in a master-feeder structure. Net investment income and expense ratios shall be computed based on the amounts reported in the statement of operations, and portfolio turnover shall be measured based on the turnover of investments made by the reporting fund in the investee funds, not looking through the investee funds to their portfolio activity.

> Separate Accounts

946-205-50-31 Separate accounts with more than two levels of contract charges or net unit values per subaccount may elect to present the required financial highlights for contract expense levels that had units issued or outstanding during the reporting period (including number of units, unit fair value, net assets, expense ratio, investment income ratio, and total return), for either of the following:

a. Each contract expense level that results in a distinct net unit value and for which units were issued or outstanding during each reporting period

b. The range of the lowest and highest level of expense ratio and the related total return and unit fair values during each reporting period.

The calculation of the ranges for the total return ratio and unit fair values should correspond to the groupings that produced the lowest and highest expense ratios.

946-205-50-32 The financial highlights table in the separate account's financial statements shall state clearly that the expense ratio considers only the expenses borne directly by the separate account and excludes expenses incurred directly by the underlying funds or charged through the redemption of units.

946-205-50-33 If the ranges of expense ratios, total returns, and unit fair values are presented, the entity should disclose instances in which individual contract values do not fall within the ranges presented (for example, if a new product is introduced late in a reporting period and the total return does not fall within the range).

946-205-50-34 The expense disclosure shall also include ranges of all fees that are charged by the separate account and a description of those fees, including whether they are assessed as direct reductions in unit values or through the redemption of units for all policies contained within the separate account.

S00 Status

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General

946-205-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	~~Accounting Standards Update~~	Date
946-205-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019

S45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Content of Financial Statements

946-205-S45-1 See paragraph 946-10-S99-3, Regulation S-X Rule 6-03(a), for requirements pertaining to the content of the financial statements.

> Consolidated and Combined Financial Statements

946-205-S45-2 See paragraph 946-10-S99-3, Regulation S-X Rule 6-03(c), for requirements pertaining to consolidated and combined statements.

> Series Companies

946-205-S45-3 See paragraph 946-10-S99-3, Regulation S-X Rule 6-03(j), for requirements pertaining to series companies.

> Inapplicable Captions

946-205-S45-4 See paragraph 946-10-S99-3, Regulation S-X Rule 6-03(l), for circumstances in which it is permissible to omit certain captions or items.

> Required Schedules

946-205-S45-5 See paragraph 946-205-S99-1, Regulation S-X Rule 6-10, for requirements pertaining to the presentation of schedules.

S50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Management Investment Companies

946-205-S50-1 See paragraph 946-205-S99-1, Regulation S-X Rule 6-10(c), for supplemental schedules required for management investment companies.

> Unit Investment Trusts

946-205-S50-2 See paragraph 946-205-S99-1, Regulation S-X Rule 6-10(d), for supplemental schedules required for unit investment trusts.

> Face-Amount Certificate Investment Companies

946-205-S50-3 See paragraph 946-205-S99-1, Regulation S-X Rule 6-10(e), for supplemental schedules required for face-amount certificate investment companies.

S99 SEC Materials

General Note: As more fully described in *About the Codification*, the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 6-10, What Schedules Are to Be Filed

946-205-S99-1 The following is the text of Regulation S-X Rule 6-10, What Schedules Are to Be Filed (17 CFR 210.6-10).

(a) When information is required in schedules for both the person and its subsidiaries consolidated, it may be presented in the form of a single schedule, provided that items pertaining to the registrant are separately shown and that such single schedule affords a properly summarized presentation of the facts.

(b) The schedules shall be examined by an independent accountant if the related financial statements are so examined.

(c) Management investment companies.

(1) Except as otherwise provided in the applicable form, the schedules specified in this paragraph shall be filed for management investment companies as of the dates of the most recent audited balance sheet and any subsequent unaudited statement being filed for each person or group.

Schedule I—Investments in securities of unaffiliated issuers. The schedule prescribed by § 210.12-12 shall be filed in support of caption 1 of each balance sheet.

Schedule II—Investments in and advances to affiliates. The schedule prescribed by § 210.12-14 shall be filed in support of caption 2 of each balance sheet.

Schedule III—Investments—securities sold short. The schedule prescribed by § 210.12-12A shall be filed in support of caption 9(a) of each balance sheet.

Schedule IV—Open option contracts written. The schedule prescribed by § 210.12-13 shall be filed in support of caption 9(b) of each balance sheet.

Schedule V—Open futures contracts. The schedule prescribed by §210.12-13A shall be filed in support of captions 3(a) and 9(c) of each balance sheet.

Schedule VI—Open forward foreign currency contracts. The schedule prescribed by §210.12-13B shall be filed in support of captions 3(b) and 9(d) of each balance sheet.

Schedule VII—Open swap contracts. The schedule prescribed by §210.12-13C shall be filed in support of captions 3(c) and 9(e) of each balance sheet.

Schedule VIII—Investments—other than those presented in §§210.12-12, 12-12A, 12-12B, 12-13, 12-13A, 12-13B and 12-13C. The schedule prescribed by §210.12-13D shall be filed in support of captions 3(d) and 9(f) of each balance sheet.

(2) When permitted by the applicable form, the schedule specified in this paragraph may be filed for management investment companies as of the dates of the most recent audited balance sheet and any subsequent unaudited statement being filed for each person or group.

Schedule IX—Summary schedule of investments in securities of unaffiliated issuers. The schedule prescribed by § 210.12-12B may be filed in support of caption 1 of each balance sheet.

(d) Unit investment trusts. Except as otherwise provided in the applicable form:

(1) Schedules I and II, specified below in this section, shall be filed for unit investment trusts as of the dates of the most recent audited balance sheet and any subsequent unaudited statement being filed for each person or group.

(2) Schedule III, specified below in this section, shall be filed for unit investment trusts for each period for which a statement of operations is required to be filed for each person or group.

Schedule I—Investment in securities. The schedule prescribed by § 210.12-12 shall be filed in support of caption 1 of each balance sheet (§ 210.6-04).

Schedule II—Allocation of trust assets to series of trust shares. If the trust assets are specifically allocated to different series of trust shares, and if such allocation is not shown in the balance sheet in columnar form or by the filing of separate statements for each series of trust shares, a schedule shall be filed showing the amount of trust assets, indicated by each balance sheet filed, which is applicable to each series of trust shares.

Schedule III—Allocation of trust income and distributable funds to series of trust shares. If the trust income and distributable funds are specifically allocated to different series of trust shares and if such allocation is not shown in the statement of operations in columnar form or by the filing of separate statements for each series of trust shares, a schedule shall be submitted showing the amount of income and distributable funds, indicated by each statement of operations filed, which is applicable to each series of trust shares.

(e) Face-amount certificate investment companies. Except as otherwise provided in the applicable form:

(1) Schedules I, V and X, specified below, shall be filed for face-amount certificate investment companies as of the dates of the most recent audited balance sheet and any subsequent unaudited statement being filed for each person or group.

(2) All other schedules specified below in this section shall be filed for face-amount certificate investment companies for each period for which a statement of operations is filed, except as indicated for Schedules III and IV.

Schedule I—Investment in securities of unaffiliated issuers. The schedule prescribed by § 210.12-21 shall be filed in support of caption 1 and, if applicable, caption 5(a) of each balance sheet. Separate schedules shall be furnished in support of each caption, if applicable.

Schedule II—Investments in and advances to affiliates and income thereon. The schedule prescribed by § 210.12-22 shall be filed in support of captions 1 and 5(b) of each balance sheet and caption 1 of each statement of operations. Separate schedules shall be furnished in support of each caption, if applicable.

Schedule III—Mortgage loans on real estate and interest earned on mortgages. The schedule prescribed by § 210.12-23 shall be filed in support of captions 1 and 5(c) of each balance sheet and caption 1 of each statement of operations, except that only the information required by Column G and note 8 of the schedule need be furnished in support of statements of operations for years for which related balance sheets are not required.

Schedule IV—Real estate owned and rental income. The schedule prescribed by § 210.12-24 shall be filed in support of captions 1 and 5(a) of each balance sheet and caption 1 of each statement of operations for rental income included therein, except that only the information required by Columns H, I and J, and item "Rent from properties sold during the period" and note 4 of the schedule need be furnished in support of statements of operations for years for which related balance sheets are not required.

Schedule V—Qualified assets on deposit. The schedule prescribed by § 210.12-27 shall be filed in support of the information required by caption 4 of § 210.6-06 as to total amount of qualified assets on deposit.

Schedule VI—Certificate reserves. The schedule prescribed by § 210.12-26 shall be filed in support of caption 7 of each balance sheet.

Schedule VII—Valuation and qualifying accounts. The schedule prescribed by § 210.12-09 shall be filed in support of all other reserves included in the balance sheet.

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